

BODHA VENTURES

CFO ADVISORY DESK · CAPITAL ALLOCATION SERIES

The 5-Bucket Framework for Surplus Cash

How well-run companies decide where profit goes — and a practical version of the same system for businesses at any scale.

5

BUCKETS

6 mo

BUFFER TARGET

15%

MIN. REINVESTMENT HURDLE

Qtrly

REVIEW CYCLE

Prepared by CFO Advisory Desk, Bodha Ventures

A practical guide for founders and finance teams managing surplus cash.

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BEFORE THE BUCKETS — FIND YOUR NUMBER

Before you allocate anything, you need one figure — how much free cash your business actually generated last year.

Free cash flow $\approx$ Closing cash balance – Opening cash balance, adjusted for any new loans taken and any loan repayments made.

Not revenue. Not profit. What was actually left over after taxes, EMLs, and maintenance capex.

ACTION

Ask your accountant for this number before you go further. Everything below assumes you have it.

01 CASH BUFFER

Protect the business first.

Target: **6 months** of fixed costs, sitting liquid — current account or sweep account, accessible within 24 hours. Not FDs, not mutual funds.

Monthly salaries + rent + EMLs + insurance + essential overheads $\times$ 6 = required buffer

If your free cash doesn't cover this yet, this is where all of it goes. Nothing moves to Bucket 2 until this is full.

02 PAY DOWN EXPENSIVE DEBT

Make sure idle cash isn't quietly costing you money.

List every loan and credit facility with its interest rate. Anything above 12% is worth prepaying — the math rarely works in your favour otherwise.

If you're earning 4–5% on idle cash while paying 14% on a CC limit, that gap is a silent loss. Keep debt under 10% — that's usually efficient capital worth holding onto.

03 REINVEST IN THE BUSINESS

The bucket everyone wants to jump to first — but only after 1 and 2 are handled.

Before approving any spend, ask: will this generate a return higher than 15% over 3 years?

- **New machine** → additional throughput × margin, versus cost
- **New hire** → revenue or efficiency added, versus fully loaded cost
- **New location** → cash flow breakeven month, and can the buffer fund the gap?

PAYBACK GUIDE

Under 2 years — strong yes · 2–3 years — consider if strategic · Above 3 years — needs a harder look

04 STRATEGIC INVESTMENTS OR ACQUISITIONS

Usually relevant above ₹100 Cr — but worth knowing regardless.

Buying a competitor, acquiring a supplier, investing in adjacent technology. For most ₹10–100 Cr businesses, this can wait.

One thing worth noting: having Bucket 1 in place is often what lets a business move fast when a real opportunity shows up.

05 RETURN TO OWNERS

Last, not first.

Founder withdrawals should come after Buckets 1–3 are in place — not before.

Instead of taking "what feels right," decide a fixed percentage of annual free cash flow in advance. For many ₹10–50 Cr businesses, **5–20%** is a workable range. A written policy prevents impulse withdrawals later.

THE QUARTERLY CHECK-IN — 30 MINUTES, 4X A YEAR

Five questions. Same order, every quarter. If the answer to any is no, that's this quarter's priority.

- ☐ Is the 6-month buffer intact?
- ☐ Can we reduce more high-cost debt?
- ☐ Are existing investments delivering expected returns?
- ☐ Have new investments been evaluated properly?
- ☐ Are founder withdrawals within policy?

**The framework is the same whether you're
running a ₹25 Cr company or a ₹2 lakh crore
one.**

The only difference is the number of zeroes.

If you'd like a second pair of eyes on how this applies to your business,
reach out — bodhaventures.in